McKinsey Alumni Relations

Generative AI and the future of work

Alumni Webcast

Katy George and Michael Chui

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Q & A

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Today’s presenters

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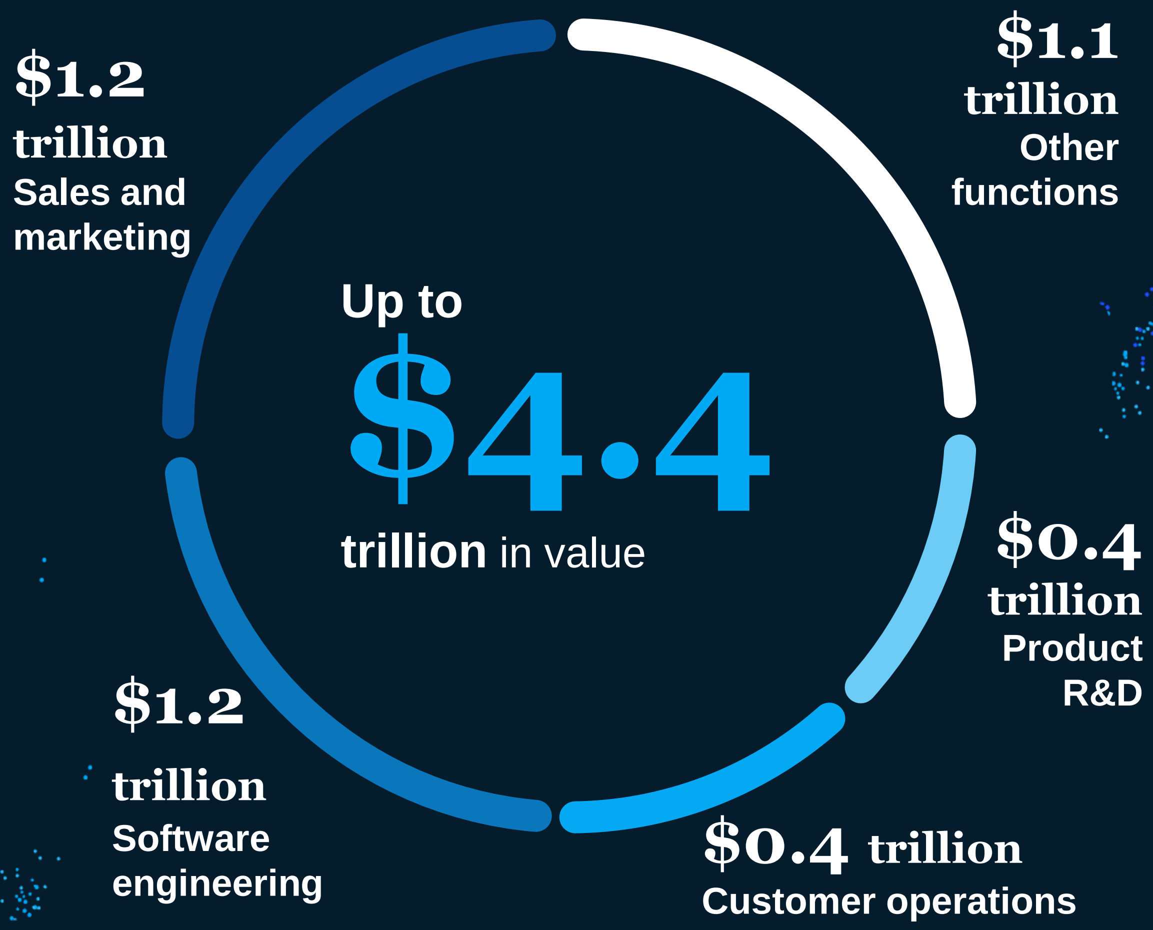
The economic potential of generative AI

Gen AI could add the equivalent of

$2.6 trillion to $4.4 trillion annually

across the 63 business use cases we analyzed

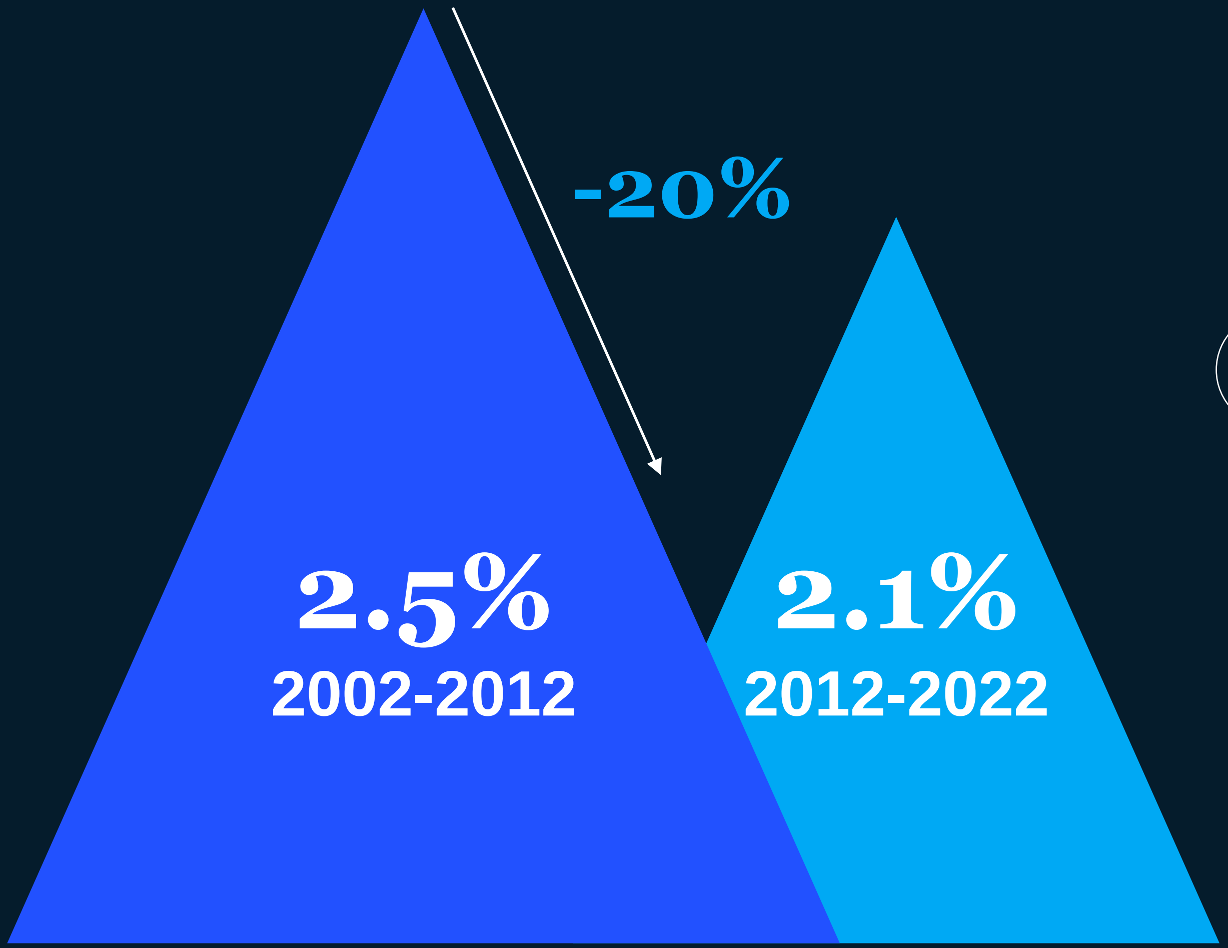
Generative AI is poised to boost performance and unlock trillions of dollars across functions



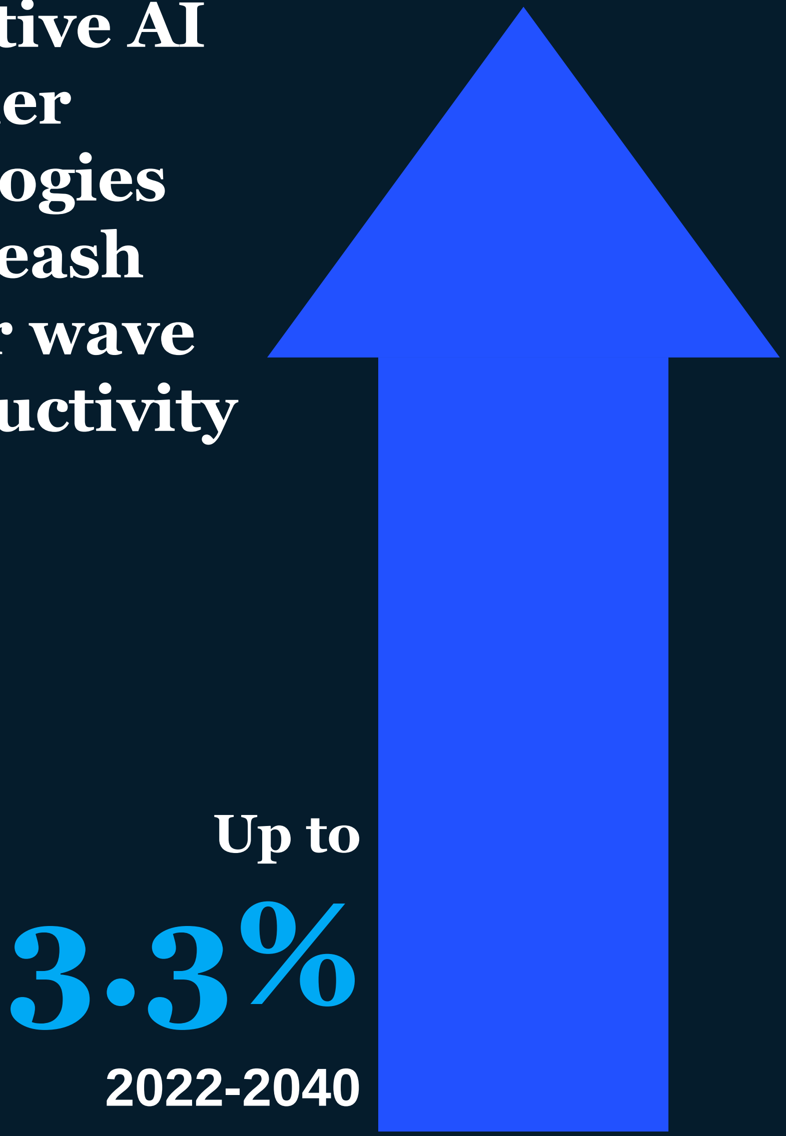
Generative AI is a superpower for the workforce

60-70% of the time spent working has the theoretical potential to be automated using gen AI and other technologies

Productivity growth has been declining over the past twenty years



Generative AI and other technologies can unleash another wave of productivity growth



Source: The Conference board Total economy database

Industries could see big gains

Retail & CPG

$400–$660 billion

Banking

$200–$340 billion

Life Sciences

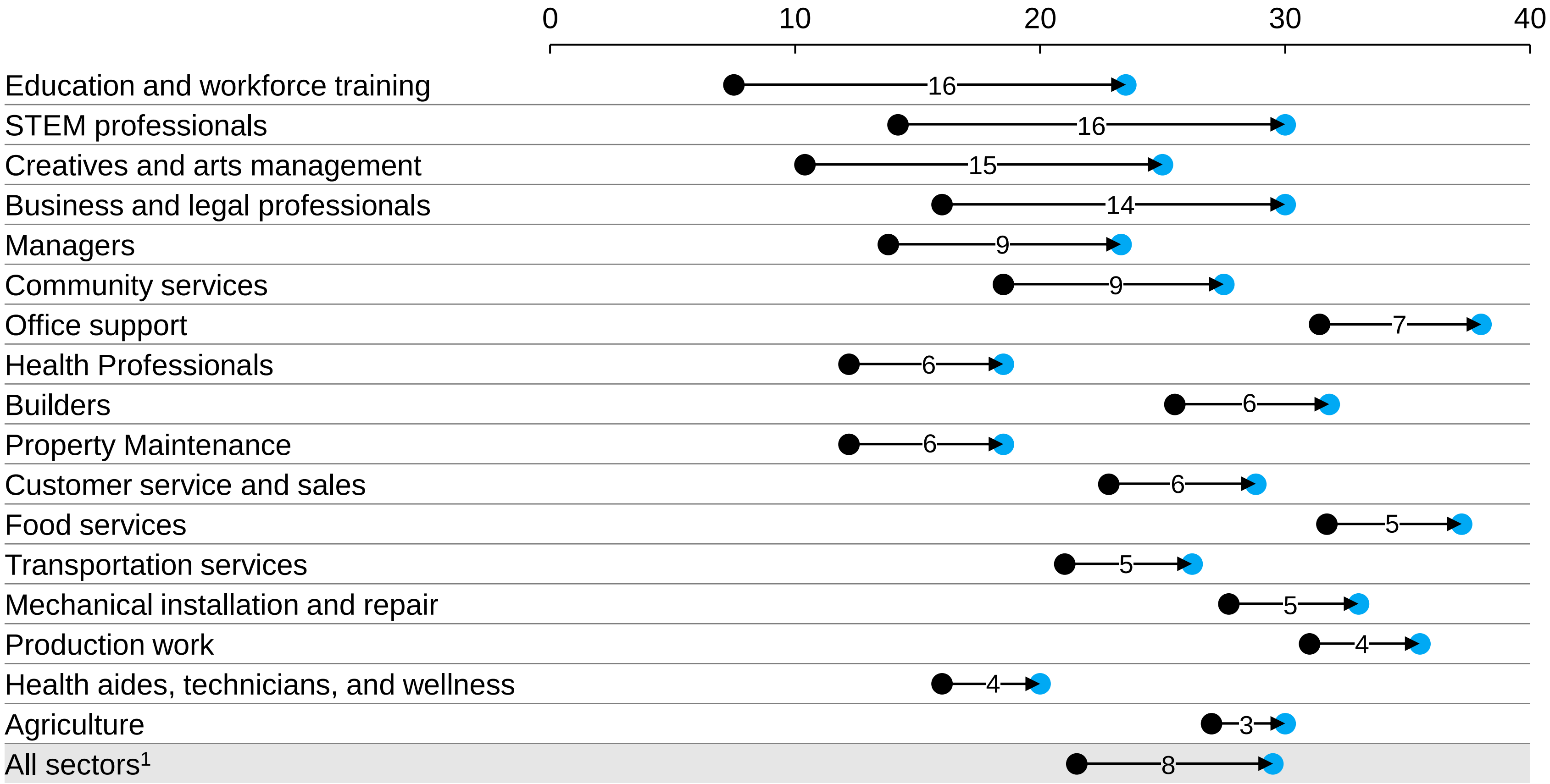
$60–$110 billion

With generative AI, 30 percent of hours worked today could be automated

● Automation adoption without generative AI acceleration ● Automation adoption with generative AI acceleration

XX – Acceleration in automation adoption from generative AI

Midpoint automation adoption by 2030 as a share of time spent on work activities, US, %



1. Totals are weighted by 2022 employment in each occupation

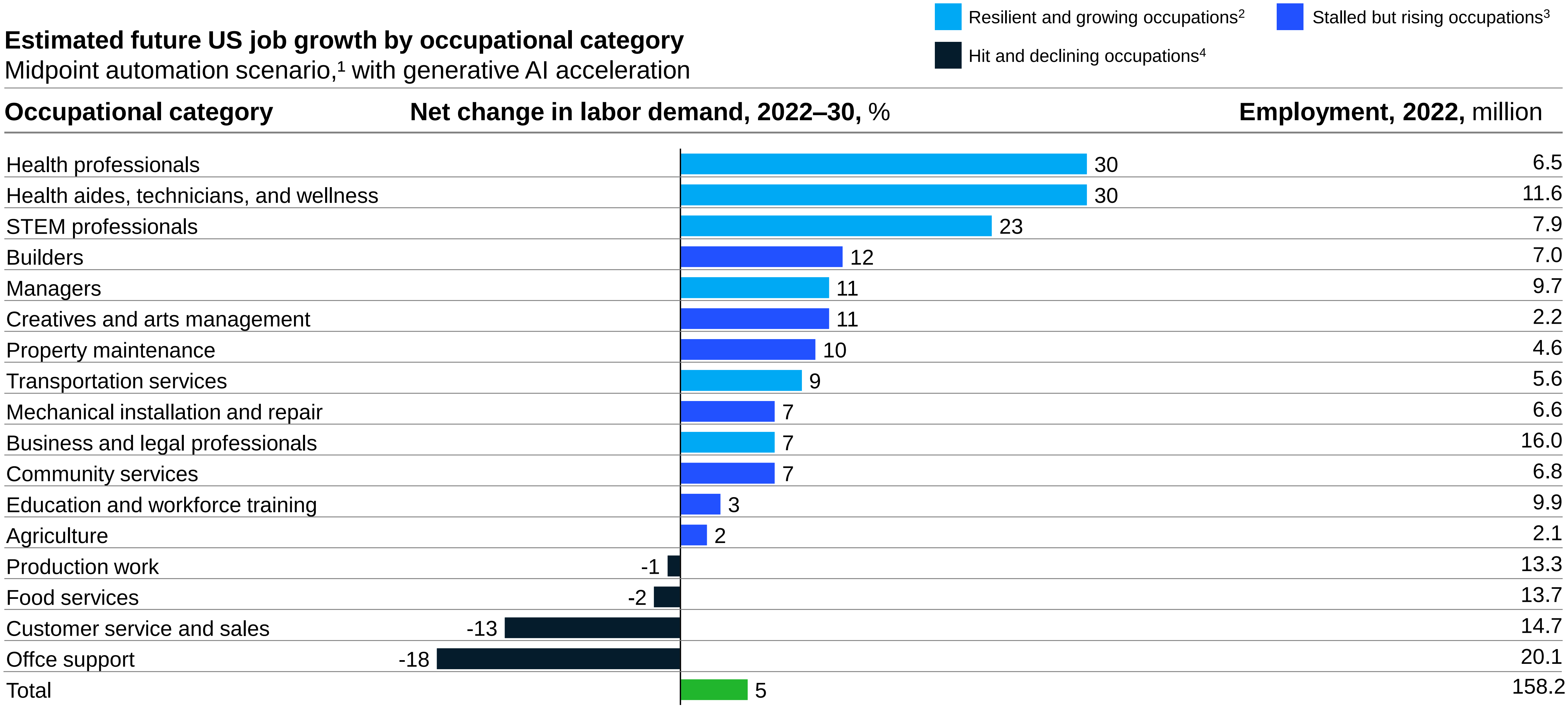
Source: O*NET; US Bureau of Labor Statistics; McKinsey Global Institute analysis

Factors considered for automation adoption

- **Technical feasibility**
- **Cost of developing and deploying**
- **Labor market dynamics**
- **Economic benefits**
- **Regulatory and social acceptance**

Healthcare, STEM, and builder roles could grow, while demand for office support and customer service roles could decline

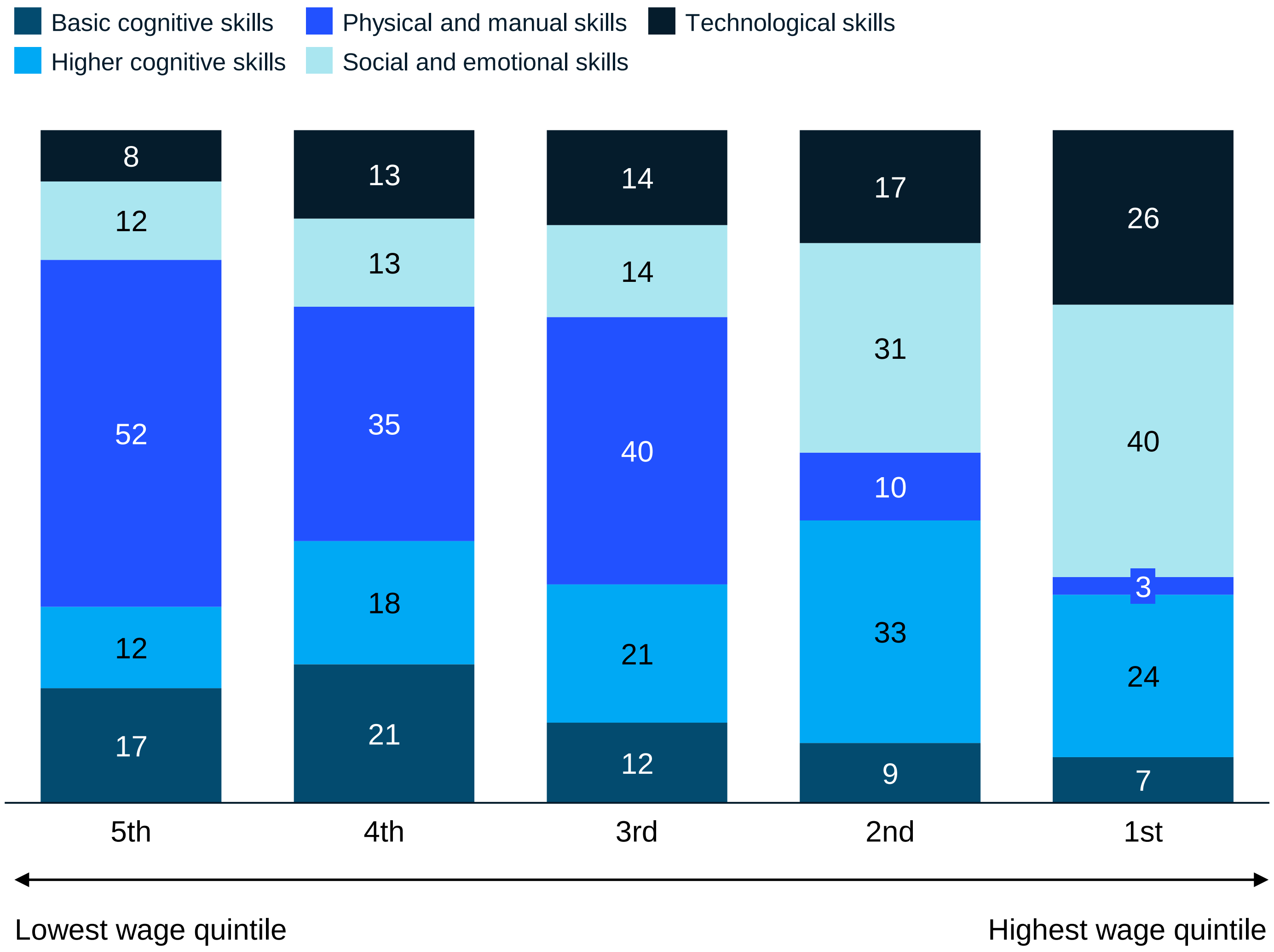
Estimated future US job growth by occupational category
Midpoint automation scenario,[1] with generative AI acceleration



1. Midpoint automation adoption is the average of early and late automation adoption scenarios as referenced in the report of "The economic potential of generative AI: The next productivity frontier", McKinsey Global Institute, June 2023.2. Resilient during the pandemic, 2019 and 2022, and expected to grow between 2022 and 2030. 3. Stalled during the pandemic, 2019 and 2022, and expected to rise between 2022 and 2030. 4. Hit during the pandemic, 2019 and 2022, and continuing to decline between 2022 and 2030.
Source: O*NET; US Bureau of Labor Statistics; Current Population Survey, US Census Bureau; McKinsey Global Institute analysis

Workforce of the future is more likely to need digital and people skills

Time spent using various types of skills by wage quintile in the United States,[1] 2030,%



1.Using O*NET data, we classified more than 2,100 work activities associated with more than 850 occupations according to the primary type of skill used.

Source: O*NET; US Bureau of Labor Statistics; Current Population Survey, US Census Bureau; McKinsey Global Institute analysis

6 actions stakeholders can take to prepare for the future of work

1 Hire for skills

Assess candidates on holistic skills rather than specific credentials or experiences

2 Engage and support women

Remove barriers, like the lack of affordable childcare, that keep women out of the workforce

3 Support and leverage historically overlooked populations

Invest in broadband infrastructure allowing rural workers to participate in a digital economy, and provide old workers opportunities to contribute their expertise while offering necessary support and flexibility

4 Build pipelines

Build targeted education and apprenticeship pipelines towards growing fields

5 Develop skills

Invest at scale in upskilling and reskilling programs that equip all workers with in-demand skills

6 Explore new working models

Develop working models that meet the changing needs of workers (e.g., gig economy, hybrid, outsourcing, four-day workweeks)

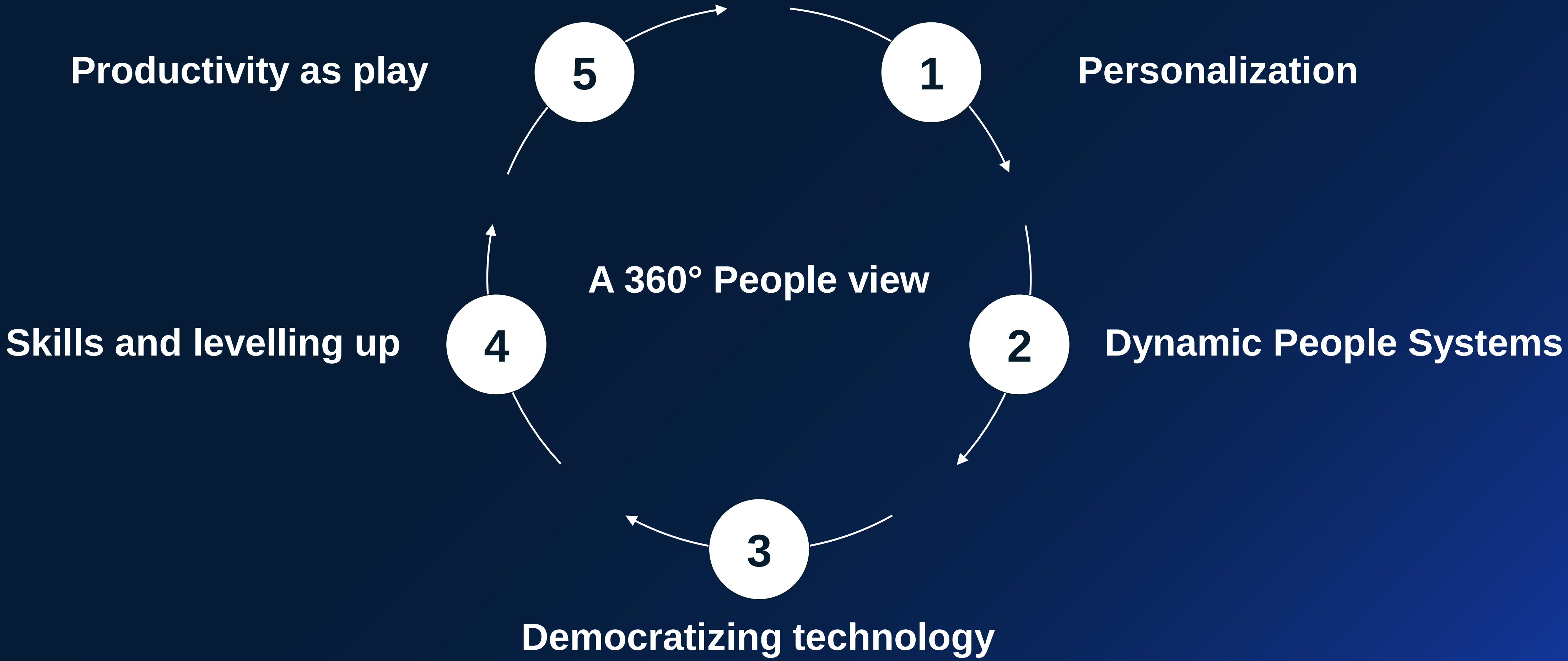
How does gen AI affect talent management?

GenAI's impact on organizations will be faster, broader and deeper, especially within the People space

Faster	**10 year**	acceleration of **widespread automation** compared to gen AI
Broader	**70%**	of **jobs exposed to automation** due to gen AI – with some professions 2X compared to pre gen AI
Deeper	**25%**	of **employees' time** previously not automatable, is now potentially automatable by gen AI

Source: McKinsey Global Institute

Gen AI has the potential to have a profound impact on the future of talent management



As advanced technologies become ubiquitous across organizations, **guardrails** will become essential

At McKinsey, Lilli is enabling and empowering our colleagues and teams across four key areas

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Non-exhaustive

Knowledge discovery and research	Quickly get a grasp on a topic, industry or issue (gathering and analyzing information, generating insights) or identify relevant experts *Example tasks: Landscape analysis*
Content development	Develop and produce content to communicate information or ideas *Example tasks: Summarize, synthesize, improve or draft content*
Problem solving	Identify and resolve issues or challenges through critical thinking and analysis using Lilli as a sparing partner for brainstorming by asking it questions about a certain topic *Example tasks: Framework construction, client meeting preparation, quantitative analytics*
Project Management	Generate ideas and workstreams to efficiently design studies and build team relationships *Example tasks: Work planning, creating agendas, summarize meeting into action items*

Read the research

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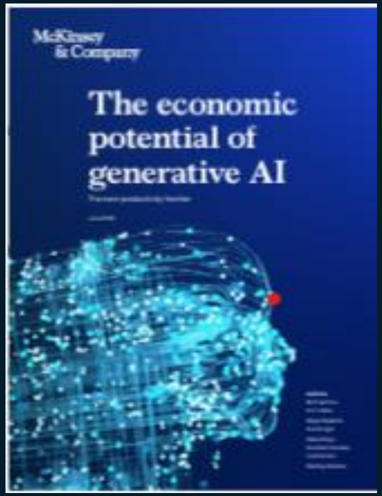

The economic potential of generative AI

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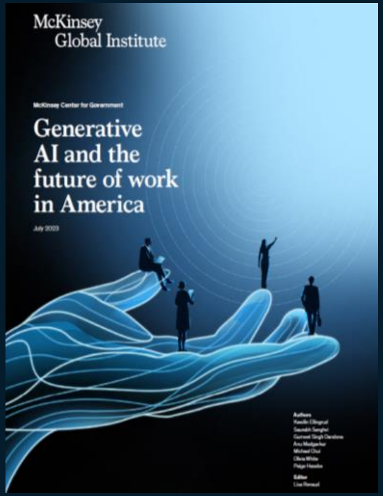

Generative AI and the future of work in America

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Questions? Please reach out . . .

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